

EC 365 - Introduction

James Feigenbaum

September 2, 2025

The Course

- ▶ Major themes in economic history
 - ▶ institutions, culture, and long run development

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 - ▶ the Great Depression and the New Deal
 - ▶ human capital (education, health, and crime)
 - ▶ innovation and technology adoption
 - ▶ inequality and intergenerational mobility (including race and gender gaps)

Who am I?

James Feigenbaum

RESEARCH

TEACHING

CODE

CV



I am an Assistant Professor in the Boston University Department of Economics. I am also a Faculty Research Fellow at the NBER in the Development of the American Economy program.

My primary research interests are in labor economics and economic history.

<https://jamesfeigenbaum.github.io>

Office Hours

- ▶ Wednesdays from 11am to 12:30pm and Thursdays from 11am to 12:30pm, all by appointment
- ▶ Make Appointments: <https://tidycal.com/feigenbaum/ec365-office-hours>
- ▶ My Office:
 - ▶ Room 302, 270 Bay State Road
 - ▶ (This is both the Economics and School of Social Work Building)

Reading List

- ▶ No textbook!
- ▶ Instead, we're going to read research papers

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1. Which papers on the syllabus do I really have to read (and when)?
 2. How do I read an economics paper?

Exams and Grades

- ▶ Midterm (30%)
 - ▶ In class on [October 16](#)
- ▶ Final (35%)
 - ▶ As scheduled by the registrar
- ▶ Short Assignments (20%)
- ▶ Class Participation (15%)

Class Participation

- ▶ What does it mean in a class of 50+ students?

Class Participation

- ▶ What does it mean in a class of 50+ students?
 1. Coming to class on time
 - ▶ I use Russian Roulette attendance and call a handful of names at the start of every class
 2. Participating by following lecture, taking notes, asking questions when you have them and answering questions when I ask them
 - ▶ To get the full 15 participation points, I expect you to attend class on time every meeting and speak up multiple times during the semester

Illness (COVID, etc) and Participation

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- ▶ If you are feeling sick or unwell or anything, don't come to class
 - ▶ There will be a google form (link on blackboard) to report your absence
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- ▶ Lectures will be recorded and posted on blackboard
 - ▶ Recordings should serve as an adequate substitute for live lectures if you have to miss class for any reason at all
 - ▶ The TF and I will be glad to help you catch up on whatever you miss via Zoom

Participation

- ▶ When you are attending class:
 1. Arrive on time
 2. Don't play on your phone

Short Research Assignments

- ▶ Four short research question assignments due throughout the semester
- ▶ Each worth 5% of your final grade for 20% total

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- ▶ How do we start thinking about doing research?
 - ▶ Ask a question
- ▶ But where do questions come from?

Short Research Assignments

- ▶ New Outcome, Same Strategy
 - ▶ Maximum one page each
 - ▶ Each assignment will have a similar structure
 - ▶ Start with a paper on the reading list and create a new research question using the old empirical strategy

ChatGPT and Our Research Assignments

What is Economic History?

What Economic History Is Not

- ▶ The history of economics or of economic thought (Smith, Ricardo, Marx, etc)
- ▶ A history of business or accounting or industries or people who made a lot of money
- ▶ Boring!

Two Possible Answers

What is Economic History?

- ▶ Answering historians' questions with economists' tools
 - ▶ Why did the North win the Civil War?
 - ▶ Why did Europe colonize the Americas and Africa, not the other way around?
 - ▶ What happened when the First Bank of the US closed down?
- ▶ Answering economists' questions with historians' sources
 - ▶ What is the effect of capital destruction on growth?
 - ▶ What is the effect of education on wages?
 - ▶ What kind of patent law promotes the most innovation?

A bit of both?

- ▶ Most economists care about the past only to the extent that it sheds light on the present (Abramitzky 2015)
- ▶ Economic historians (and the papers we'll read in this class) care both about the past and the present

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- ▶ Most economists care about the past only to the extent that it sheds light on the present (Abramitzky 2015)
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- ▶ The *best* economic history uses historical data and economic tools to answer important questions
 - ▶ Questions that economists, historians, and everyone else might care about

Today's Economic Historian

- ▶ Understand the historical context
- ▶ Answer modern questions that cannot be addressed using modern data (Jaremski 2020)
- ▶ Ask big questions with answers that require a lot of time to have passed
- ▶ Look for “the historical origins of current outcomes” (Cioni et al 2021)

Today's Economic Historian

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- ▶ Look for “the historical origins of current outcomes” (Cioni et al 2021)
- ▶ But all of this requires the right *data*
 - ▶ And usually an *identification strategy*

Data

Where Does Data Come From?

The key questions to ask about data:

- ▶ Who collected it?
- ▶ Why?
- ▶ What is included and what isn't?
- ▶ How do we know?

Census Data

County

DIVISION OF COUNTY

HOUSE NO.

STREET NO.

(Name of household and street)

U. S. DEPARTMENT OF COMMERCE 1940-1940

Serial No.	LOCATION	HOUSEHOLD DATA				NAME	RELATION	PERSONAL DESCRIPTION				EDUCATION	PLACE OF BIRTH	CITIZENSHIP	
		House number (in urban and rural)	Block number (in urban and rural)	Household size (in urban and rural)	Household size (in urban and rural)			Age	Sex	Color	Height				
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
		10	150	20		Deputy, Emil A. (D)	Head	M	59	74	70	8		Germany	Na
		20	150	40		Leimig, John (D)	Head	M	77	58	5	70	6	Germany	Na
		30	250	200		Laughlin, Sara (D)	Head	F	77	65	74	20	0	Louisiana	Na
						Travis	Son	M	77	22	3	70	8	Louisiana	Na
		40	150	20		Moe, Sofia	Daughter	F	77	36	74	11	4	Louisiana	Na
						Doyle	Granddaughter	F	77	12	3	70	5	Arizona	Na
						Robert	Grandson	M	77	6	5	70	0	California	Na
						Mayne	Grandson	M	77	18	5	70	0	California	Na
		40	700	20		Stone, August E. (D)	Head	M	77	62	74	70	8	Sweden	Na
		50	3000	20		Hermow, Cyprie L. (D)	Head	M	77	50	74	70	13	Sweden	Na
						Beal, B.	Wife	F	77	40	74	70	7	Oklahoma	Na
						Dietz, Bobbie	Wife	F	77	15	8	70	6	Oklahoma	Na

- ▶ Federal and State; Individual-, County-, and State-level
- ▶ **Big Data:** There were **50 million** people in the US in 1880 and **132 million** in 1940 and I have a record for each one of them on my computer

Map Data

- ▶ Boll Weevil
- ▶ Dust Bowl
- ▶ Ruggedness
- ▶ Highways

Map Data



Dodge City, Kansas; Stovall Studios

Map Data

VOL. 102 NO. 4

HORNBECK: THE ENDURING IMPACT OF THE AMERICAN DUST BOWL

1485

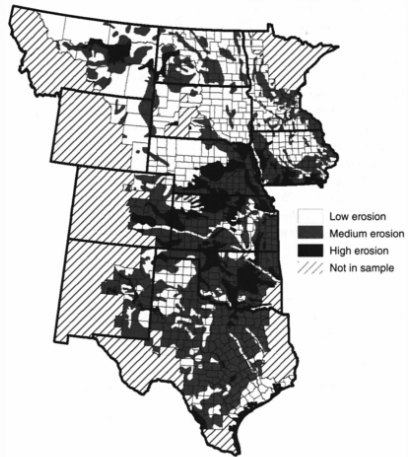
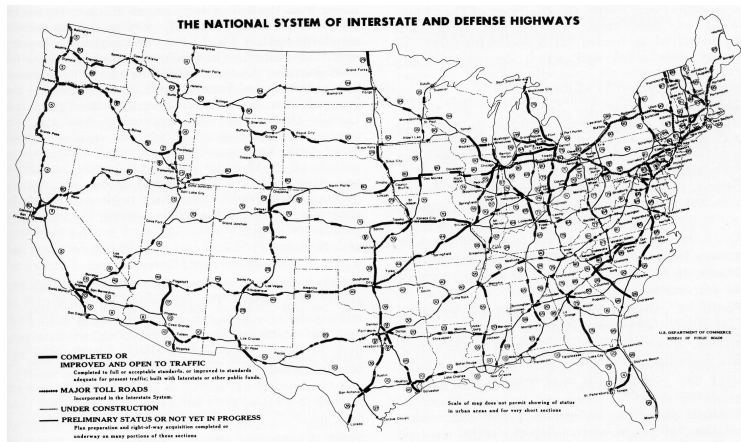


FIGURE 2. THE 779 MAIN SAMPLE COUNTIES, SHADED BY EROSION LEVEL

Map Data



Map Data



► Highways

Primary Source Data

- ▶ Hospital Records
- ▶ Lead pipes
- ▶ Worlds' Fairs
- ▶ Cotton picking logs

Secondary Source Data

- ▶ Turning (old) books into spreadsheets
 - ▶ Murdock Atlas
 - ▶ Aptheker's Slave Rebellions

Identification Strategy

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- ▶ But when is it causation not correlation?
 - ▶ This is *hard*!

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 - ▶ Difference in Differences (DD or Diff in Diff)
 - ▶ Instrumental Variables (IV)

Identification Strategy

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- ▶ But when is it causation not correlation?
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- ▶ There are two techniques we will see a lot of in the papers in this class
 - ▶ Difference in Differences (DD or Diff in Diff)
 - ▶ Instrumental Variables (IV)
- ▶ But first, let's start with the basics of a regression

Regression

Start with a simple question:

- ▶ What is the effect of education on earnings?

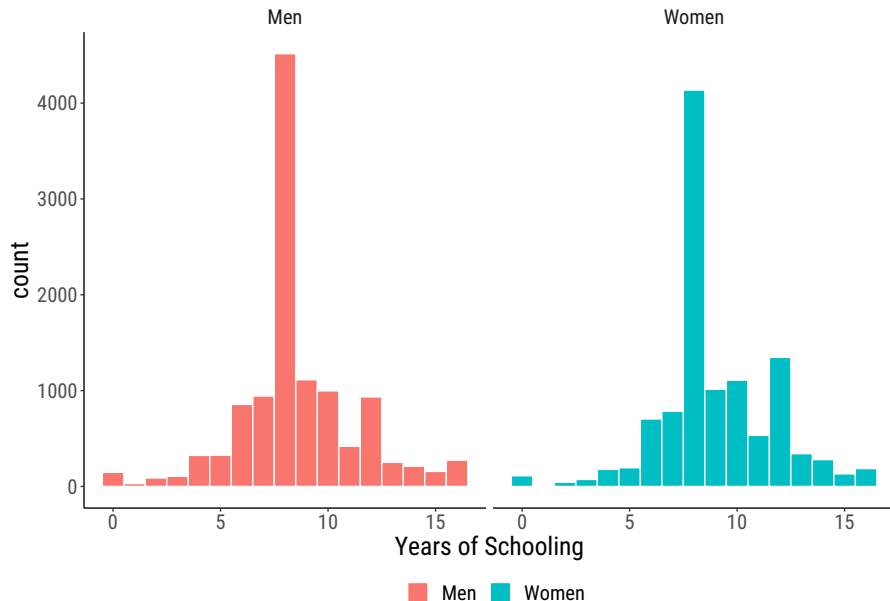
Regression

- ▶ I'll use data from the 1915 Iowa State Census
- ▶ This is the first census to ask questions about annual earnings and years of education (why?)
- ▶ Collected from the original census cards by Goldin and Katz

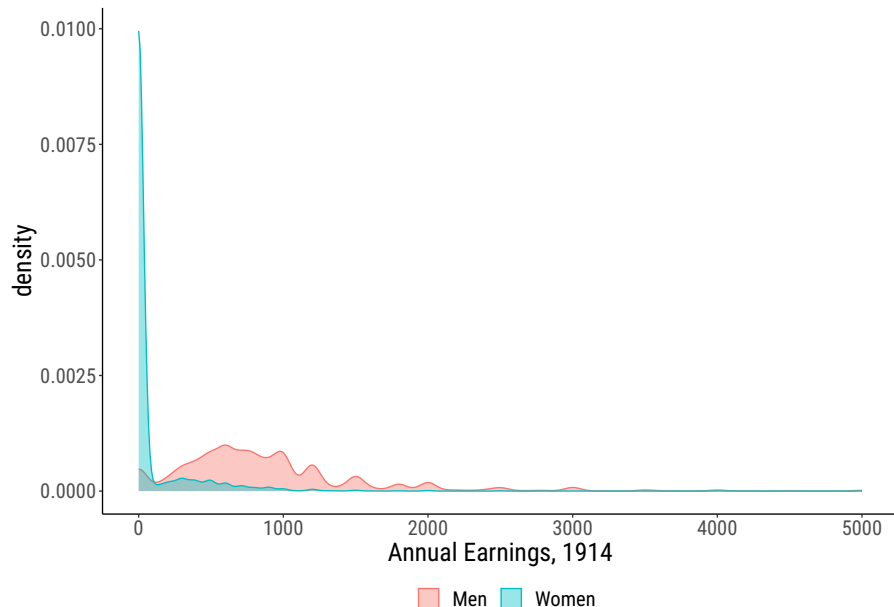
```
## # A tibble: 6 x 7
```

##	ID	AGE	URBAN	RACE	YRS_SCH	EARN	OCCSTR
##	<chr>	<dbl>	<dbl+lbl>	<dbl+lbl>	<dbl>	<dbl>	<chr>
## 1	110310	32	2 [Rural sample]	1 [White]	8	575	mason
## 2	110411	45	2 [Rural sample]	1 [White]	7	1400	farmer
## 3	110515	47	2 [Rural sample]	1 [White]	3	3000	farmer
## 4	110723	37	2 [Rural sample]	1 [White]	8	1500	farmer
## 5	110826	41	2 [Rural sample]	1 [White]	4	0	teamster
## 6	1101130	30	2 [Rural sample]	1 [White]	8	1000	clerk

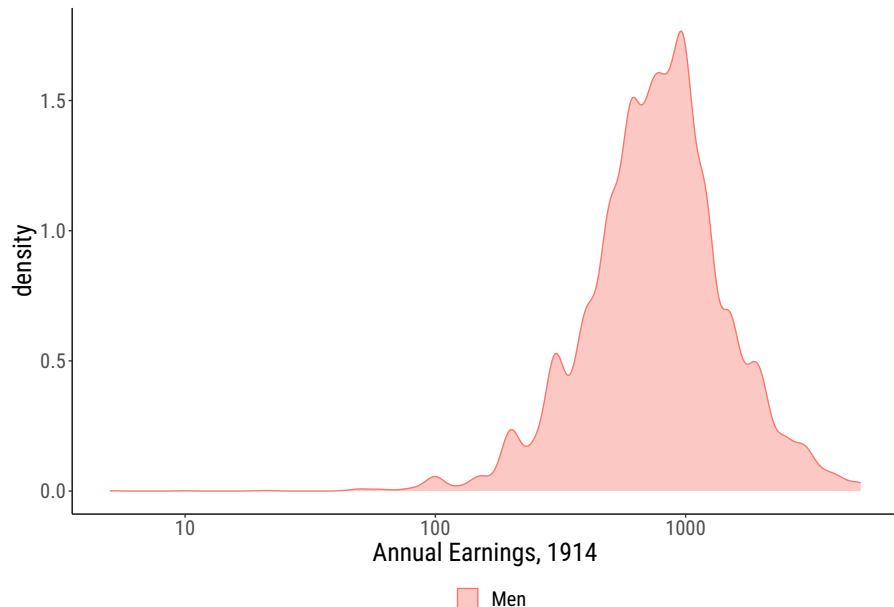
Distribution of Education



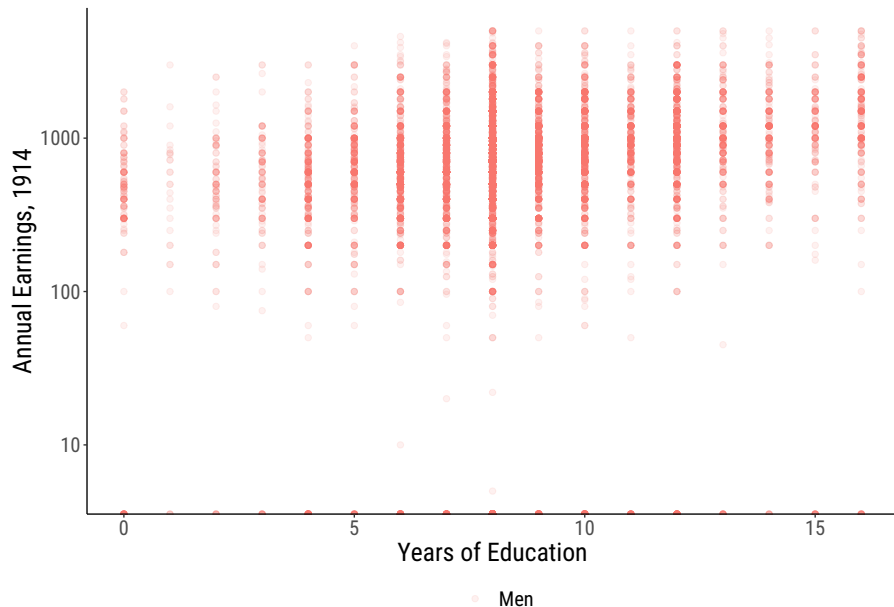
Distribution of Earnings



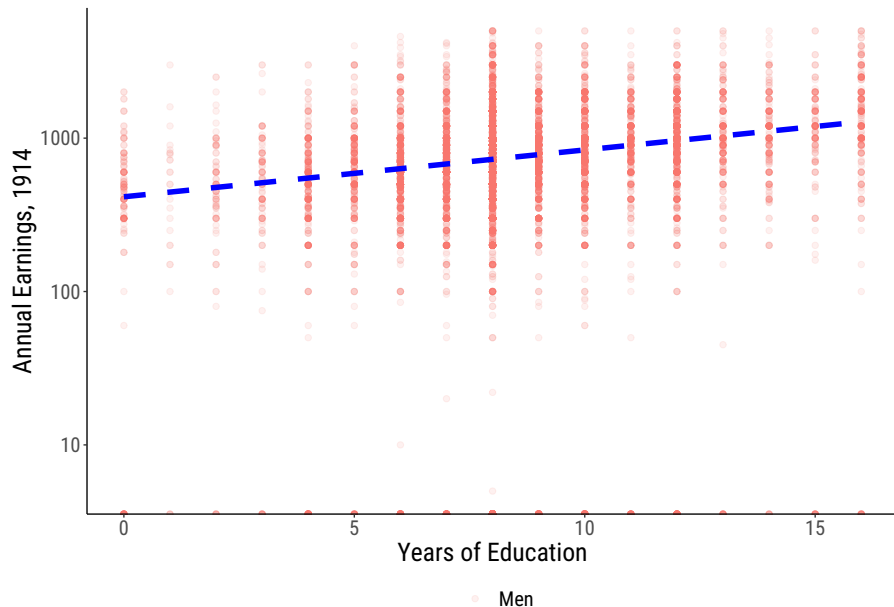
Distribution of Earnings (Log Scale)



What is the return to education?



What is the return to education?



Writing down a regression equation

$$\ln(\text{earnings})_i = \alpha + \beta_1 \times \text{education}_i + \beta_2 \times \text{age}_i + \epsilon_i$$

Reading a regression table

```
##               reg.1      reg.2      reg.3
## Sample (URBAN) Full sample          1          2
## Dependent Var.:  log(EARN) log(EARN) log(EARN)
##
## Constant          5.66***    5.65***    5.65***
##                  (0.033)    (0.038)    (0.054)
## YRS_SCH           0.072***    0.092***    0.051***
##                  (0.002)    (0.002)    (0.004)
## AGE               0.009***    0.006***    0.013***
##                  (0.0007)   (0.0008)   (0.001)
## -----
## S.E. type          IID          IID          IID
## Observations       10,428       5,440       4,988
## R2                  0.10636     0.20423     0.06012
## Adj. R2             0.10619     0.20394     0.05974
## ---
## Signif. codes: 0 '***' 0.001 '**' 0.01 '*' 0.05 '.' 0.1 ' ' 1
```

Does More Education Cause Higher Earnings?

- ▶ Does the regression table we just saw prove that?

When is it Causation not Correlation?

- ▶ This is *hard*!
- ▶ There are two techniques we will see a lot of in the papers in this class
 - ▶ Difference in Differences (DD or Diff in Diff)
 - ▶ Instrumental Variables (IV)

Intro to DD and IV

- ▶ I'll post two mini-lectures on blackboard
 - ▶ Intro to DD (TK minutes)
 - ▶ Intro to IV (TK minutes)

For Thursday

- ▶ Main (do this!)
 - ▶ Acemoglu, Daron, Simon Johnson, and James Robinson. 2001. "The Colonial Origins of Comparative Development: An Empirical Investigation," AER, <https://www.aeaweb.org/articles?id=10.1257/aer.91.5.1369>
- ▶ Additional (I'll lecture about it)
 - ▶ Dell, Melissa. 2010. "The Persistent Effects of Peru's Mining Mita," *Econometrica*, 78 (6): 1863–1903. <http://www.jstor.org/stable/40928464>
 - ▶ Michalopoulos, Stelios and Elias Pappaioannou. 2016. "The Long-Run Effects of the Scramble for Africa." AER <https://www-aeaweb-org.ezproxy.bu.edu/articles?id=10.1257/aer.20131311>
 - ▶ Banerjee, Abhijit and Lakshmi Iyer. 2005. "History, Institutions, and Economic Performance: The Legacy of Colonial Land Tenure Systems in India." AER <https://www.aeaweb.org/articles?id=10.1257/0002828054825574>